

## 1.3 Unit content

### 1.3.1 What is the nature of economics?

What students need to learn:

| Content                                   | Students should be able to:                                                                                                                                                                                            | Additional guidance notes                                                                                                                                                                                                           |
|-------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Scarcity                                  | Understand the problem of unlimited wants and finite resources.<br><br>Distinguish between renewable and non-renewable resources.                                                                                      | Students should understand that the economic problem is faced by consumers, producers and the government.<br><br>Students should understand the meaning of sustainable resources.                                                   |
| Production possibility frontiers          | Use production possibility frontiers to depict opportunity cost, economic growth and the efficient allocation of resources.<br><br>Distinguish between movements along and shifts in production possibility frontiers. | Marginal analysis is required to depict opportunity cost. A basic definition of economic growth is required along with knowledge of the factors which might cause the production possibility frontier to shift outwards or inwards. |
| Specialisation and the division of labour | Understand the advantages and disadvantages of specialisation and the division of labour.                                                                                                                              | AS students are <b>not</b> expected to have an understanding of international specialisation and comparative advantage.                                                                                                             |
| Free market and mixed economies           | Understand the advantages and disadvantages of a free market economy and why there are mixed economies.                                                                                                                | Students are <b>not</b> expected to have an understanding of centrally planned economies.                                                                                                                                           |
| Positive and normative economics          | Distinguish between objective statements and value judgements on economic issues.                                                                                                                                      | Students should know that value judgements influence economic decision making and policy.                                                                                                                                           |

### 1.3.2 What determines the demand for a good or service in a market?

What students need to learn:

| Content                                        | Students should be able to:                                                                                                                                                                                                                                      | Additional guidance notes                                                                                                                                                                                                                                                                                                                                         |
|------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Movement along the demand curve                | Understand how a change in price causes a movement along a demand curve.                                                                                                                                                                                         | Students are <b>not</b> expected to have an understanding of utility theory or indifference curve analysis.                                                                                                                                                                                                                                                       |
| Shifts in the demand curve                     | Understand factors which may cause a shift in the demand curve, for example, changes in the price of substitutes or complementary goods; changes in real income and tastes.                                                                                      |                                                                                                                                                                                                                                                                                                                                                                   |
| Price, income and cross elasticities of demand | <p>Explain price, income and cross elasticities of demand. Understand factors that influence elasticities of demand and their significance to firms and government.</p> <p>Understand the relationship between price elasticity of demand and total revenue.</p> | <p>Students may have to calculate and interpret numerical values of price, income and cross elasticity of demand.</p> <p>Students should understand the significance of elasticity to firms and government in terms of the imposition of indirect taxes and subsidies; changes in real income and changes in the price of substitute and complementary goods.</p> |

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### 1.3.3 What determines the supply of a good or service in a market?

What students need to learn:

| Content                         | Students should be able to:                                                                                                                                                                                                                | Additional guidance notes                                                                                                                                                              |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Movement along the supply curve | Understand how a change in price causes a movement along the supply curve.                                                                                                                                                                 | AS students are <b>not</b> expected to understand the relationship between marginal costs and supply.                                                                                  |
| Shifts in the supply curve      | Understand the factors which may cause a shift in the supply curve, for example, changes in the costs of production, the introduction of new technology, indirect taxes and government subsidies.                                          | Producer cartels may be a significant determinant of supply in some markets, for example, oil.<br><br>Students should be able to apply both specific and ad valorem taxes to a market. |
| Price elasticity of supply      | <p>Explain price elasticity of supply; understand factors that influence price elasticity of supply.</p> <p>Distinguish between the short run and long run in economics and understand its significance to price elasticity of supply.</p> | Students may have to calculate and interpret numerical values of price elasticity of supply.                                                                                           |

### 1.3.4 What determines the price of a good or service in a market?

What students need to learn:

| Content                             | Students should be able to:                                                                                                                                                 | Additional guidance notes                                                                                          |
|-------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Determination of market equilibrium | <p>Explain equilibrium price and quantity and how they are determined.</p> <p>Understand how the operation of market forces eliminates excess demand and excess supply.</p> | Students should understand that shifts in demand and supply curves will change the equilibrium price and quantity. |
| Consumer and producer surplus       | <p>Distinguish between consumer and producer surplus.</p> <p>Illustrate consumer and producer surplus on a demand and supply diagram.</p>                                   | Students should understand how changes in demand or supply might affect consumer and producer surplus.             |
| Functions of the price mechanism    | Understand the rationing, incentive and signalling functions of the price mechanism for allocating scarce resources.                                                        | The price mechanism may be considered in the context of product, commodity and labour markets.                     |

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### 1.3.5 How might the change in price of a good or service be explained?

What students need to learn:

| Content                      | Students should be able to:                                                                                                               | Additional guidance notes                                                                                                                                                                |
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| Price mechanism              | Apply the price mechanism in markets, such as goods, services, commodities or labour.                                                     | Students should be able to apply the determinants of demand and supply to various markets, for example, price of stock market shares, oil, precious metals and agricultural commodities. |
| Indirect taxes and subsidies | Use supply and demand analysis to demonstrate the impact and incidence of taxes and subsidies on consumers, producers and the government. | Students should be aware of the importance of elasticities of demand and supply, for example, in relation to government indirect taxes and subsidies.                                    |

### 1.3.6 What determines the wage rate for labour in a market?

What students need to learn:

| Content                     | Students should be able to:                                                                                                                                                                                                                                                                                                                                                                             | Additional guidance notes                                                                                                                                                                                                                                                      |
|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Demand and supply of labour | <p>Understand the factors which influence the demand and supply of labour.</p> <p>Recognise that demand for labour is derived from the demand for the final product it makes (derived demand).</p> <p>Understand that factors influencing the supply of labour include population migration, income tax and benefits, government regulations (for example, national minimum wage) and trade unions.</p> | <p>Students are <b>not</b> expected to use marginal revenue productivity theory in explaining the demand for labour.</p> <p>AS students are <b>not</b> required to use the backward sloping supply curve for labour and are <b>not</b> required to use monopsony analysis.</p> |

### 1.3.7 Why do some markets fail?

What students need to learn:

| Content        | Students should be able to:                                                                                                                                                                                                                                                                                                                                                           | Additional guidance notes                                                                                                                                                                                                                                                                                   |
|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Market failure | Define and understand different types of market failure.                                                                                                                                                                                                                                                                                                                              | <p>Students should understand that market failure is when the price mechanism causes an inefficient allocation of resources.</p> <p>The types of market failure considered at AS level are externalities, public goods, imperfect market information, labour immobility and unstable commodity markets.</p> |
| Externalities  | <p>Illustrate external costs and external benefits using marginal analysis, distinguishing between the market and social optimum positions. The welfare loss or gain areas are required.</p> <p>Understand the impact of externalities and government intervention in various markets, for example, transport, health care, education, environment, waste disposal and recycling.</p> | <p>Students are required only to illustrate the external costs from production and external benefits from consumption.</p> <p>Students should assess the costs and benefits from major investment projects such as sporting events and transport infrastructure improvements.</p>                           |
| Public goods   | <p>Explain why public goods may not be provided by the market.</p> <p>Distinguish between public and private goods.</p>                                                                                                                                                                                                                                                               | Students should understand the free rider and valuation problems.                                                                                                                                                                                                                                           |

| Content                      | Students should be able to:                                                                                                                                                                                                                                               | Additional guidance notes                                                                                                                                                                                                                                                        |
|------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Imperfect market information | <p>Distinguish between symmetric and asymmetric information.</p> <p>Understand how imperfect market information may lead to a misallocation of resources, for example, health care, education, pensions, tobacco and alcohol.</p>                                         |                                                                                                                                                                                                                                                                                  |
| Labour immobility            | <p>Understand geographical and occupational immobility of labour may result in structural unemployment.</p> <p>Assess government measures to reduce factor immobility such as training programmes and relocation subsidies.</p>                                           | <p>Students should understand the significance of house prices for restricting the geographical mobility of labour and the skills shortage for restricting the occupational mobility of labour.</p>                                                                              |
| Unstable commodity markets   | <p>Understand the causes and effects of fluctuating commodity prices on consumers and producers.</p> <p>Assess the impact of government intervention in the form of minimum prices and buffer stocks. Use diagrammatic analysis for minimum prices and buffer stocks.</p> | <p>Students should understand how uncertainty in production (for example, climatic) and time lags may affect supply and the significance of price and income elasticity of demand.</p> <p>Students are <b>not</b> expected to use diagrammatic analysis of the cobweb model.</p> |

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### 1.3.8 How do governments attempt to correct market failure?

What students need to learn:

| Content                            | Students should be able to:                                                                                                                                                                                                                                                                                                                                                    | Additional guidance notes                                                                                                                                                                                  |
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| Methods of government intervention | <p>Understand the different measures of government intervention to correct market failure, for example, indirect taxation, subsidies, buffer stocks, tradable pollution permits, extension of property rights, state provision and regulation.</p> <p>Apply, analyse and assess the effectiveness of each method of government intervention for correcting market failure.</p> | Students should be able to apply government economic measures in various contexts, for example, road pricing, landfill tax, carbon offsetting and carbon emissions trading, renewable energy certificates. |

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### 1.3.9 What is government failure?

What students need to learn:

| Content            | Students should be able to:                                                                                                                                                                                     | Additional guidance notes                                                                                                                                                                                           |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Government failure | Define and explain different types of government failure, for example, undesirable outcomes from agricultural stabilisation policies; environmental policies; transport, housing and the national minimum wage. | <p>Students should understand that government intervention may result in a net welfare loss.</p> <p>Students should understand the economic arguments for and against an increase in the national minimum wage.</p> |